At times, the government also tried to insinuate financial mismanagement and hoped to pin it on VOC but eventually gave this up as it could not find real evidence. For instance, the police claimed that a deficit of Rs 3 lakh was never fully explained.[52] C. Vijayaraghavachari who came down to Tuticorin to attend a directors' meeting in late April found out about it, the police said, and that was the reason why debentures were to be issued for that amount. Why debentures would be issued for unaccounted deficit is far from evident. The police also said that the company had been cheated by the shipowners and that the ships' officers were robbing the company 'right and left' over coal.[53] The alleged short-changing by the earlier owners of the two steamers was widely rumoured but the swindling by the European crew is something on which we have no information—as we saw, S.D. Krishna Aiyangar remarked that the management was dependent on the crew for coal supplies and they were known to indulge in trickery.

But the facts hardly deterred the officials from alleging fraud. One official noted, on 22 March 1908, without a shred of evidence, that 'it will come out later on that there has been a big swindle in the SSNCo and that much of the object of the present trouble was to conceal the swindle'.[54] Wynch accused VOC of 'systematically preach[ing] the extremist propaganda' 'to win his private ends as agent–secretary of SSNCo'.[55]

In the light of these, in May, Wynch proposed that a commission of inquiry be appointed to probe the Swadeshi company. Murray Hammick, the chief secretary, considered this point and consulted the registrar general of joint stock companies. Much to their disappointment, the registrar general opined that SSNCo was 'not at all in a bad way & would not have to close business'. Further, he pointed out that 'no thorough enquiry could be ordered under the Companies Act as any co. could refuse to show its books if it chose to do so'. Gabriel Stokes, now a member of the Governor's Council, was however sure that not only could an inquiry be conducted at the instance of the shareholders, the directors too could be brought under the penal code if required. It was eventually decided that they 'must just let matters work themselves out' and '… need not tackle at present'.[56]